

Economic reform



Economic activity can take place in all sorts of economic systems, from free market to state-run to communist. Economic reform includes a host of actions by governments to change, and hopefully improve, the nature of their economic systems. A famous example is the 'shock therapy' reform that followed the fall of communism in Eastern Europe, in which countries were rapidly subjected to market forces. African nations, too, underwent similar reforms. These changes had mixed results, and later reform programmes have broadened to encompass changes in the legal and political institutions required for markets to work. Even advantageous reforms can get derailed – they often threaten the privileges of politically powerful people, such as industrialists who might lose from opening up to international competition. The distribution of costs and benefits from a valuable reform may not be known, so to minimize the

risk of ending up on the losing side people may oppose it. Such problems make economic reform one of the most complex and uncertain types of government action.